

## US ECONOMICS ANALYST

## 2026 US Economic Outlook: Solid Growth, Low Inflation, Shaky Labor Market

- The US economy grew faster in 2025 than looked likely after large tariffs were announced last spring, both because the most disruptive tariffs were scaled back and because some of the risks that tariffs posed had less impact than history might have suggested. But GDP growth that likely exceeded 2% was not enough to prevent the labor market from gradually softening a bit further.
- Our strongest conviction views for 2026 are our above-consensus GDP growth forecast and our below-consensus inflation forecast. The outlook for the labor market is more uncertain—we expect it to stabilize but see the possibility of further softening as the key risk for 2026.
- We forecast GDP growth of 2.5% (vs. 2.1% consensus) in 2026 on a Q4/Q4 basis or 2.8% on a full-year basis as the drag from tariffs gives way to a boost from tax cuts. We have also lowered our 12-month recession probability from 30% to 20%. Tax cuts, real wage gains, and rising wealth should sustain solid consumer spending growth, and new tax incentives, easier financial conditions, and reduced policy uncertainty should boost business investment. The composition of GDP growth will look different from last cycle in the years ahead: more will come from productivity growth, which has rebounded and should receive a boost from artificial intelligence, and less will come from labor supply growth with immigration now much lower.
- We expect core PCE inflation to fall to 2.1% year-over-year by December and core CPI to fall to 2.0%. Our inflation forecast is 0.3pp below consensus, the FOMC, and market pricing. We are confident in part because we think there was actually meaningful progress in 2025 that was masked by a moderate one-time boost from tariffs that should fade this year, and in part because we expect labor market rebalancing and the exhaustion of catch-up inflation to drive a bit more progress toward the target this year. In fact, the two most valuable indicators for forecasting inflation further ahead—the state of the labor market and leading indicators of rent inflation—now point to lower inflation than they did late last cycle.
- Our baseline forecast for the labor market is that a small pickup in GDP growth and a decline in policy uncertainty will boost hiring just enough to stabilize the unemployment rate at 4.5%. But we see several risks here: the starting point for job growth is weak and narrow, job openings have continued to slowly trend lower, and companies are increasingly discussing layoffs and are eager to use

**David Mericle**  
+1(212)357-2619 |  
david.mericle@gs.com  
Goldman Sachs & Co. LLC

artificial intelligence to reduce labor costs. As a result, we see a period of jobless growth similar to the “jobless recovery” of the early 2000s as a plausible alternative scenario.

- Lower inflation would resolve one source of disagreement among Fed officials, but they will likely still have a range of views on the appropriate terminal rate. We expect them to meet in the middle, delivering two 25bp cuts in June and September (vs. our previous forecast of March and June) to 3-3.25%. We see the risks as tilted to the downside, and our probability-weighted Fed forecast is a bit below both our baseline and market pricing.

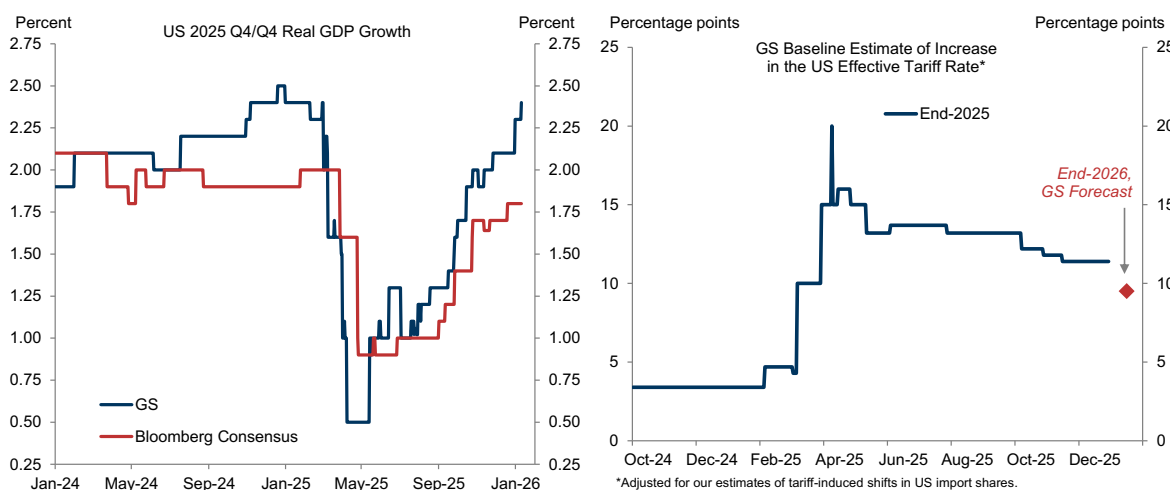
## 2026 US Economic Outlook: Solid Growth, Low Inflation, Shaky Labor Market

The US economy appears to have grown more than 2% in 2025, similar to consensus expectations at the start of last year but a faster pace than looked likely after large tariffs were announced last spring.

One reason that the economy beat those early April expectations is that the White House scaled back the largest tariffs that would have been the most economically disruptive. But another is that while the tariffs did act like a tax increase and create uncertainty for businesses, some of the potential negative effects of tariffs that historical experience might have suggested did not amount to much—foreign retaliation was limited, the dollar depreciated instead of appreciating, and the stock market eventually moved past tariff concerns. There is a prominent alternative narrative that the boom in artificial intelligence investment simply offset the tariff blow and powered much of last year's GDP growth, but its impact was actually quite limited, in part because some of it is missed in the GDP statistics.

While the economy performed well from a GDP perspective, 2025 looks different from a labor market perspective. Job growth slowed sharply last year, and the unemployment rate rose somewhat.

**Exhibit 1: GDP Growth in 2025 Turned Out Better Than Looked Likely When Large Tariffs Were Announced in the Spring, in Part Because the Most Disruptive Tariffs Were Scaled Back**



Source: Goldman Sachs Global Investment Research, Bloomberg

Our strongest conviction views for 2026 are our above-consensus GDP growth forecast and our below-consensus inflation forecast. The outlook for the labor market is more uncertain—we expect it to stabilize but see the possibility of further softening as the key risk for 2026.

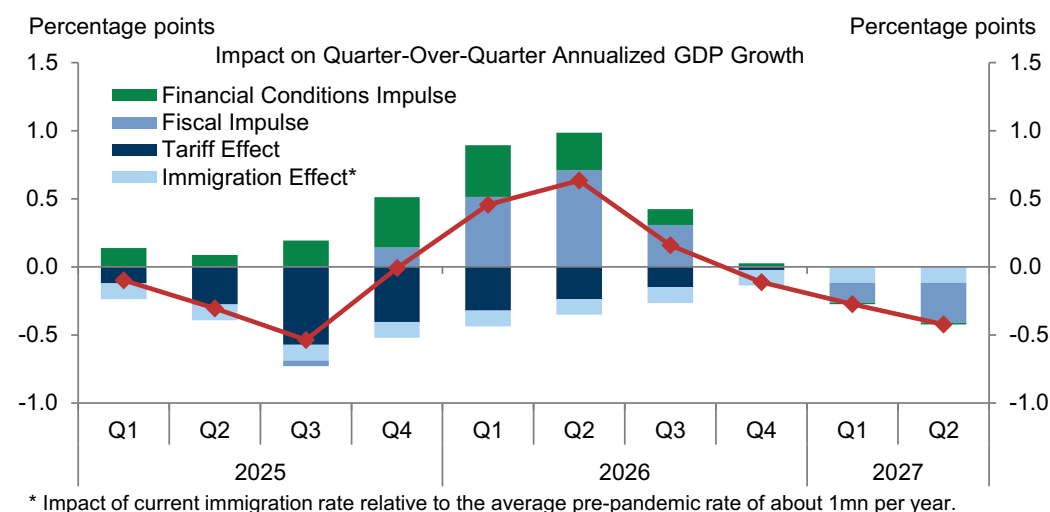
## Solid GDP Growth as the Tariff Drag Gives Way to a Boost from Tax Cuts

We forecast GDP growth of 2.5% (vs. 2.1% consensus) in 2026 on a Q4/Q4 basis or 2.8% (vs. 2.1% consensus) on a full-year basis. We have lowered our 12-month recession probability from 30% to 20%—slightly above the historical unconditional average of 15%—in response to early signs of labor market stabilization, discussed below, and our expectation that the largest policy risks are behind us.

The key driver of our forecast for solid growth this year is that the drag from tariff increases should give way to a boost from business and personal tax cuts included in the One Big Beautiful Bill Act (OBBBA). Because the fiscal boost will be frontloaded and the end of the government shutdown will provide a mechanical boost of about 1.3pp in Q1, we expect GDP growth to be stronger in the first half of the year.

Our forecast assumes that with the midterm elections approaching and the cost of living emerging as a major political theme, the White House will avoid significant further tariff increases. In fact, we expect the effective tariff rate to fall by about 2pp—resulting in a 9.5pp net increase since the start of 2025—because new deals and exemptions could lower the effective tariff rate, and any new tariffs that replace tariffs the Supreme Court might overturn would likely be capped at 15%, below some current rates.

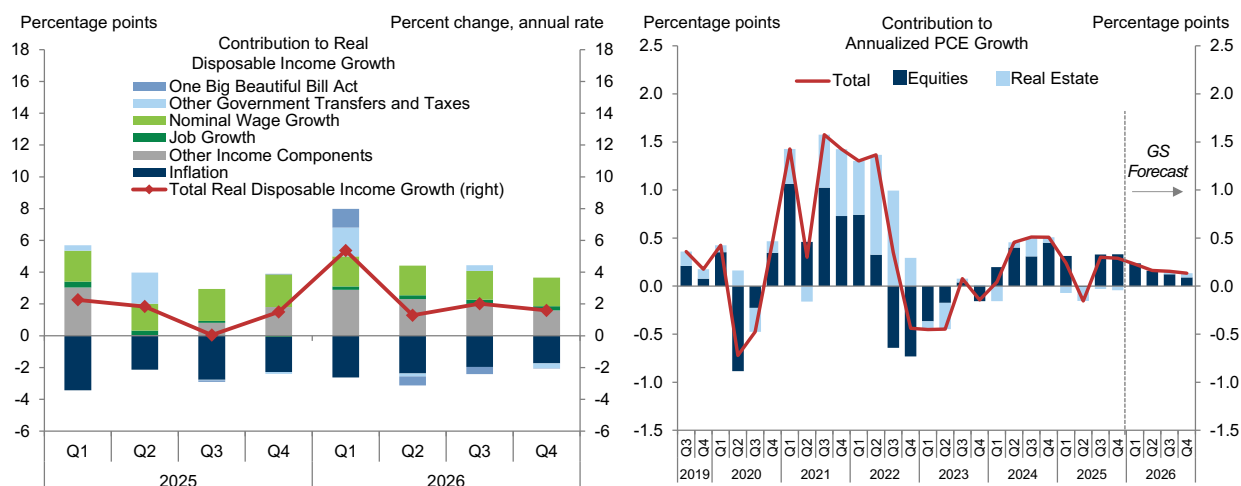
### Exhibit 2: We Expect Somewhat Stronger Growth in 2026 as the Tariff Drag Gives Way to a Fiscal Boost



Source: Goldman Sachs Global Investment Research

Consumer spending should continue to grow steadily at around 2.2% in 2026 Q4/Q4, supported by tax cuts, slightly larger real wage gains as inflation slows by more than wage growth, and a moderate wealth effect. While we think the “K-shaped economy” narrative has been exaggerated a bit, we do expect weaker consumption growth in 2026 at the low end, where lower immigration will weigh more on job and income growth and government spending cuts will hit hardest. Consumption growth should be stronger in the middle, which will benefit the most from the new personal tax cuts, and at the top, which will benefit from a wealth effect driven by equities.

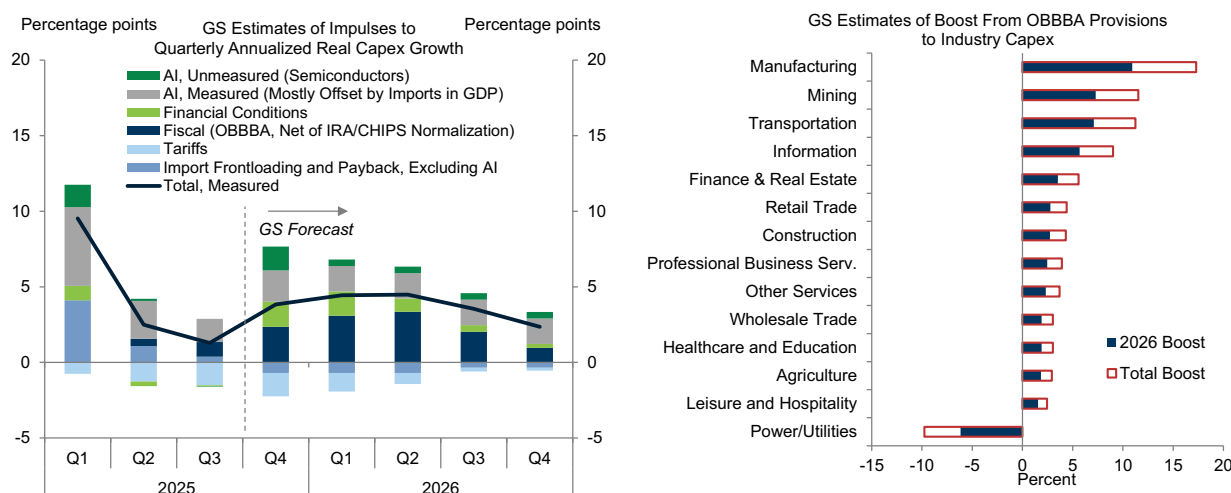
### Exhibit 3: New Tax Cuts, Solid Real Wage Growth, and a Positive Wealth Effect Should Keep Consumer Spending Growth Above 2%



Source: Goldman Sachs Global Investment Research, Department of Commerce

We expect business investment to be the strongest component of GDP in 2026, growing 5½% Q4/Q4. Business investment should benefit from easier financial conditions, reduced policy uncertainty, and more generous tax incentives. At the industry level, tax policy changes from the OBBBA should reduce the cost of capital and boost investment most in the manufacturing sector, though its impact there will be offset by the fading effect of Inflation Reduction Act and CHIPS Act subsidies. We expect investment in artificial intelligence to contribute about 1.5pp to measured capex growth this year, but the net impact on GDP growth would be only 0.1-0.2pp because much of the spending will be on imported equipment.

### Exhibit 4: Business Investment Should Be the Strongest Part of the Economy in 2026, Boosted by More Generous Investment Tax Incentives, Easier Financial Conditions, AI Spending, and Less of a Tariff Drag

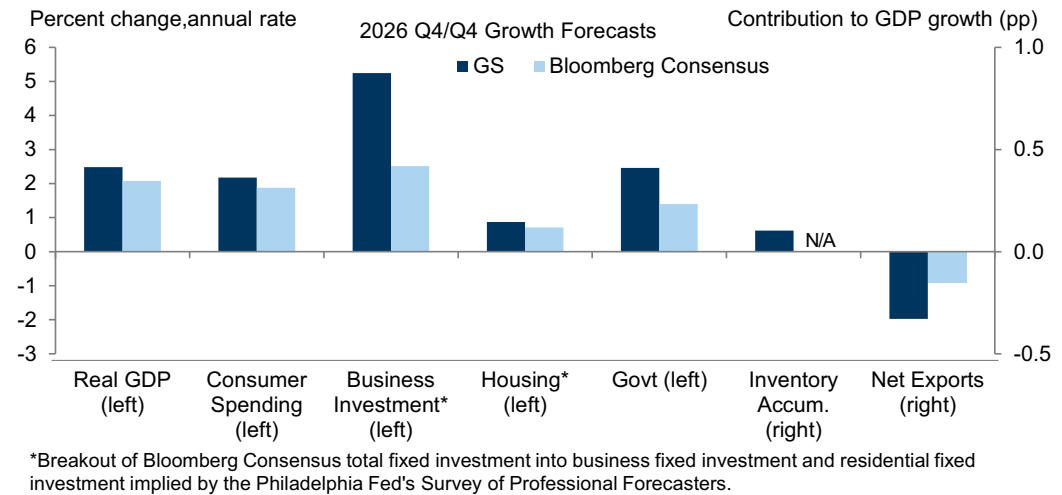


Source: Goldman Sachs Global Investment Research

Residential investment is likely to remain weak in 2026 for familiar reasons: mortgage rates remain high, affordability is constraining demand for single-family housing, a great deal of new apartment supply has come online in recent years or is nearing completion, and lower immigration is a hit to both the demand and supply sides. If the Fed delivers rate cuts roughly in line with what markets already expect and longer-term interest rates

consequently remain steady, the housing sector is likely to remain weak.

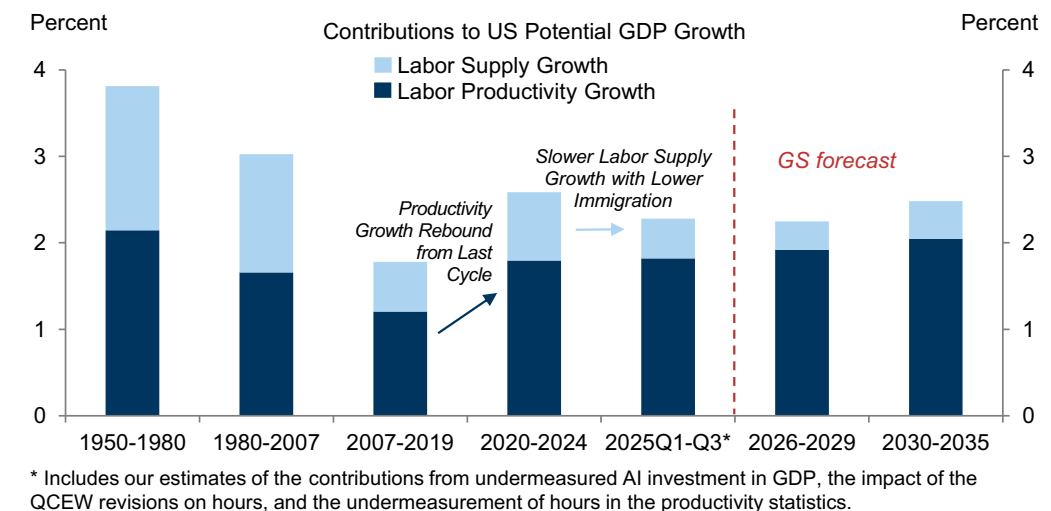
#### Exhibit 5: We Are Above Consensus on GDP Growth in 2026, Especially on Business Investment



Source: Goldman Sachs Global Investment Research, Bloomberg

The composition of GDP growth will look different from last cycle in the years ahead: more will come from productivity growth, which has already rebounded to its historical average pace of 2% this cycle and should receive a further boost from artificial intelligence, and less will come from labor supply growth because net immigration has fallen to well below its rate in the 2010s.

#### Exhibit 6: In the Years Ahead, More GDP Growth Is Likely to Come from Productivity Growth, Which Has Rebounded to Its Average Historical Pace After Being Depressed Last Cycle, and Less Will Come from Labor Supply Growth, Which Has Declined as Immigration Has Fallen Below Its Pre-Pandemic Rate

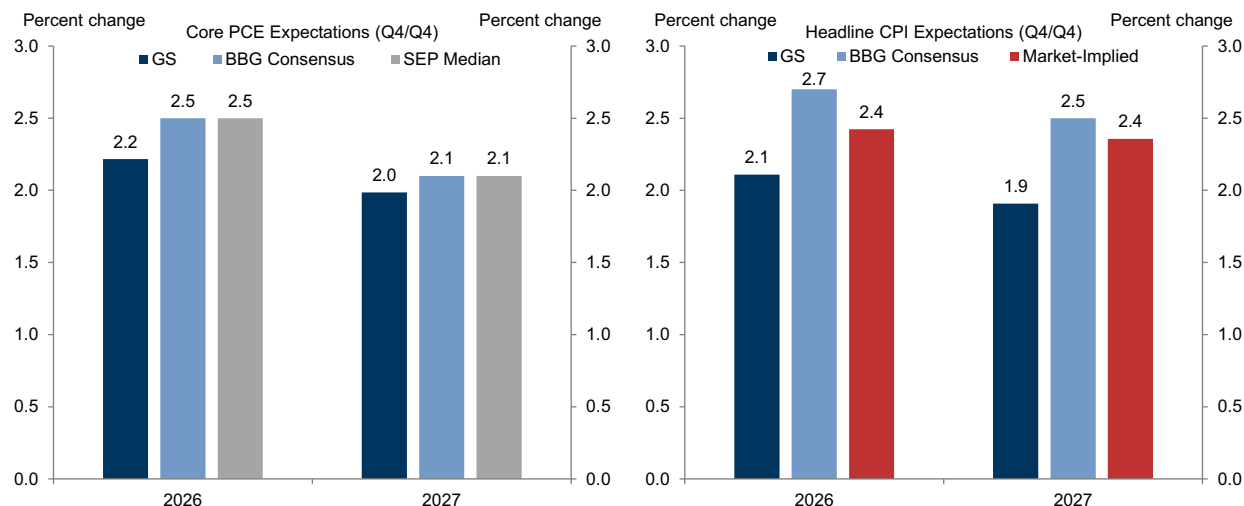


Source: Goldman Sachs Global Investment Research, US Department of Commerce

## Inflation Nears the Target as Tariff Effects Fade

Our inflation forecast for 2026 is also more optimistic than consensus and is perhaps our most differentiated view. We expect core PCE inflation to fall to 2.1% year-over-year by December and core CPI to fall to 2.0%. Our forecasts are about 0.3pp below consensus, the FOMC, and market pricing.

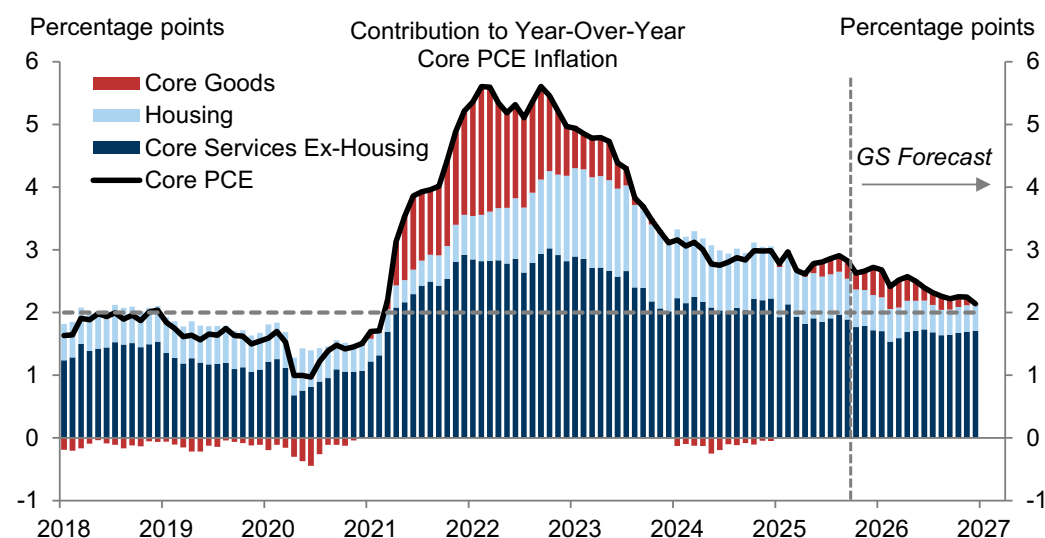
### Exhibit 7: Our 2026 Inflation Forecasts Are 0.3pp Below Consensus, the FOMC, and Market Pricing



Source: Goldman Sachs Global Investment Research, Bloomberg

We are confident that inflation will decline in part because we think there was actually meaningful progress in 2025, especially in the shelter category, that was masked by a moderate one-time boost from tariffs that should fade this year. While progress on core PCE inflation has stalled at 2.8% year-over-year, we estimate that passthrough from tariffs to consumer prices has contributed 0.5pp, primarily in goods categories, which implies that inflation excluding the one-time effect of tariffs has already fallen to 2.3%.

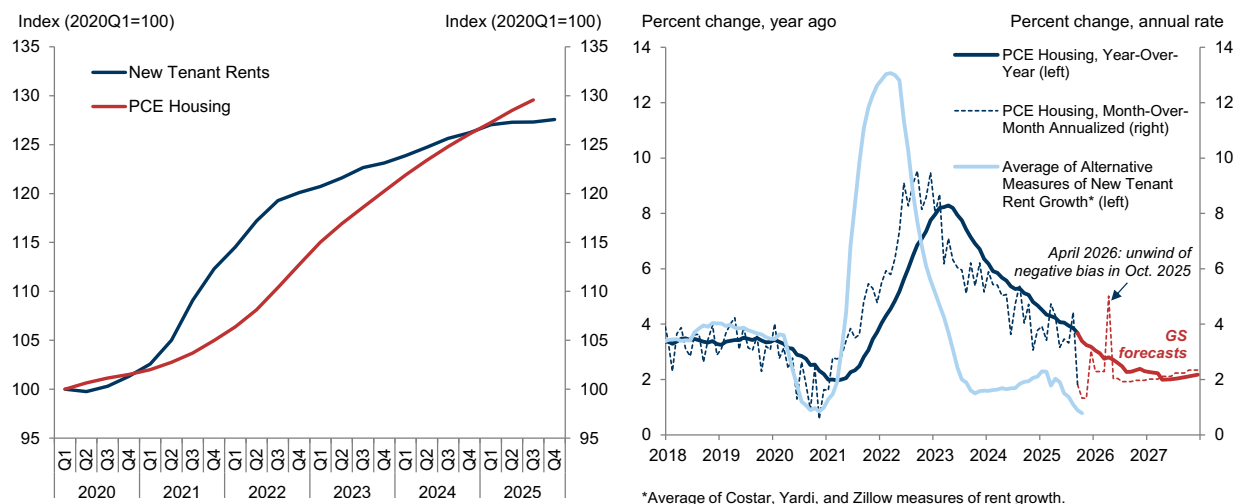
### Exhibit 8: While Core Inflation Held Roughly Steady in 2025, There Was Progress in Shelter and Other Categories That Was Masked by a Moderate One-Time Boost to Goods Prices from Tariffs



Source: Goldman Sachs Global Investment Research, Department of Commerce

The other reason we are confident that inflation will fall further is that two straightforward forces that have driven it lower for three years have a bit further to go. The first is the exhaustion of “catch-up inflation,” where some prices adjust with a longer lag and therefore keep rising at a faster pace until they have caught up. In the most prominent example of this, the shelter category, catch-up ended last year, and the key leading indicator—new lease rent growth—has now fallen to well below its pre-pandemic rate. As a result, we expect the large shelter category to slow from 3.7% to 2.3% by December.

**Exhibit 9: Shelter Inflation Is Likely to Slow Substantially Further in 2026 Because “Catch-up Inflation” Is Now Behind Us and Rent Growth on New Leases Is Running Well Below Its Pre-Pandemic Pace**

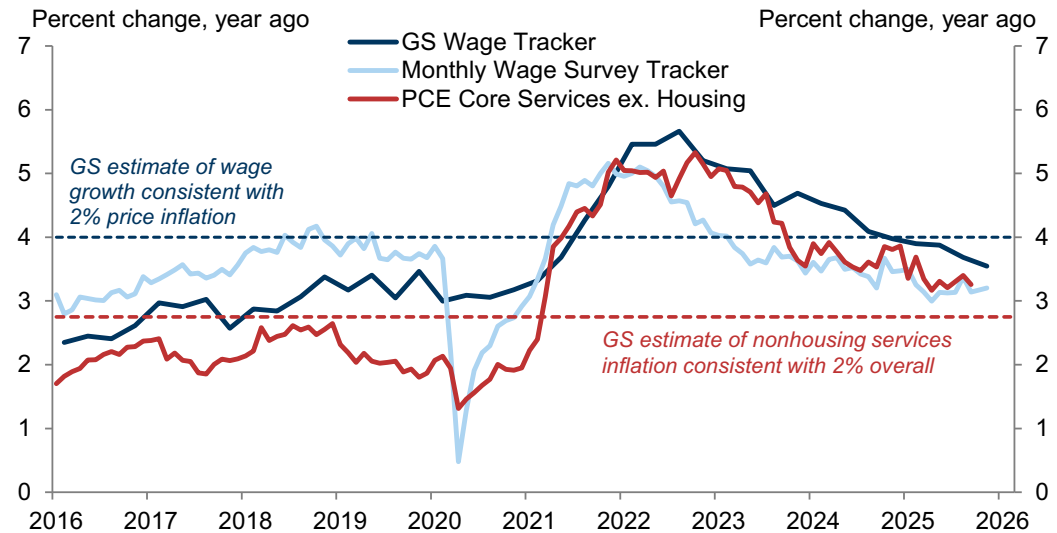


Source: Goldman Sachs Global Investment Research, Department of Commerce

The second driver of lower inflation has been labor market rebalancing. Our wage growth tracker has fallen by over 2pp to 3.5%, a rate that is compatible with 2% or sub-2% inflation with productivity growth running near 2%, and survey-based expectations suggest that wage growth has a bit further to fall. This should put additional downward pressure on inflation in labor-intensive non-housing services categories.



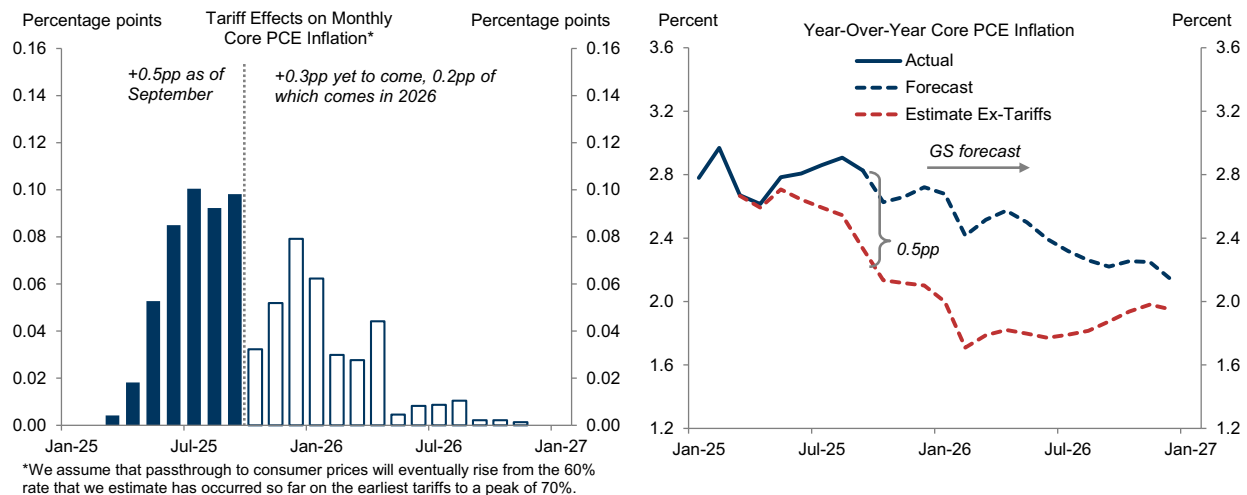
**Exhibit 10: Wage Growth Has Already Slowed to a Pace Consistent with 2% Price Inflation and Is Likely to Slow Further, Which Should Continue to Put Downward Pressure on Other Core Services Categories**



Source: Goldman Sachs Global Investment Research, Department of Commerce

While core inflation is likely to stand close to 2% by the end of the year in both PCE and CPI terms, both inclusive and exclusive of tariff effects, there will be a few final bumps along the disinflationary road. We expect a 0.2pp boost to inflation in December caused by shutdown-related distortions to data collection in October and November, one final “January effect” as companies pass through more tariff costs in their annual price resets, and roughly an extra month’s worth of shelter inflation in April as a result of the statistical agency’s assumption that the missing prices for the same six-month panel in October were unchanged.

**Exhibit 11: We Estimate That Core PCE Inflation Has Already Fallen to 2.3% Net of the Impact of Tariffs and Will Reach 2.1% by December Even Inclusive of Remaining Tariff Effects**



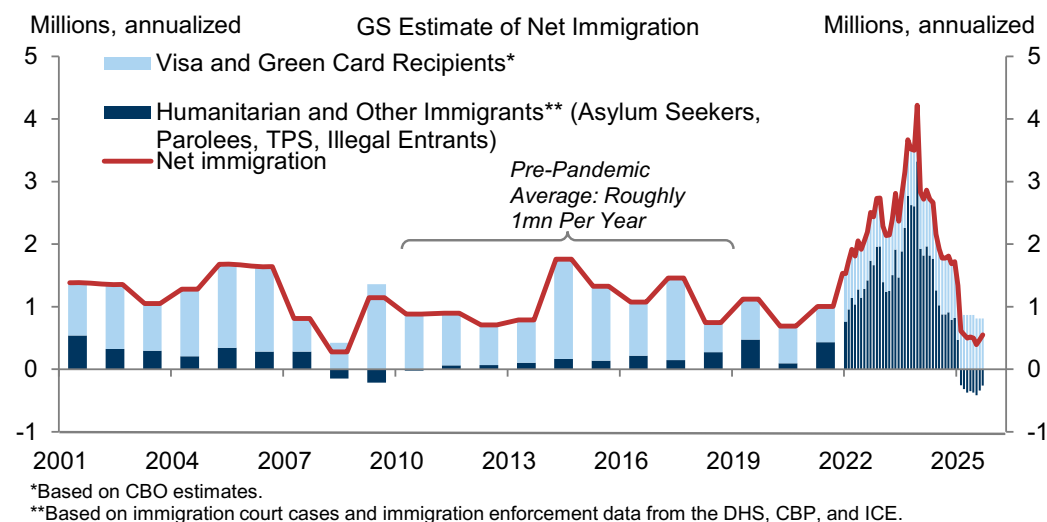
Source: Goldman Sachs Global Investment Research, Department of Commerce

## Labor Market Stabilization or Jobless Growth?

We see the labor market as the most uncertain piece of the 2026 outlook. Our baseline is that a small pickup in GDP growth, a decline in policy uncertainty, and a slower pace of federal government job cuts will boost job growth just enough to stabilize the unemployment rate at 4.5%. But we see the possibility of further softening as the key risk for 2026.

Much but not all of the decline in job growth in 2026 reflected a decline in labor supply growth caused by the dramatic decline in immigration. We estimate that the annualized rate of immigration has fallen by about 3mn from its peak over the last two years to just 0.5mn annualized. At that pace we think the economy would need fewer than 70k jobs per month for the unemployment rate to hold steady in 2026, and we see downside risk to even that low number from the increase in arrests by immigration authorities in recent months and from a possible decline in legal immigration this year.

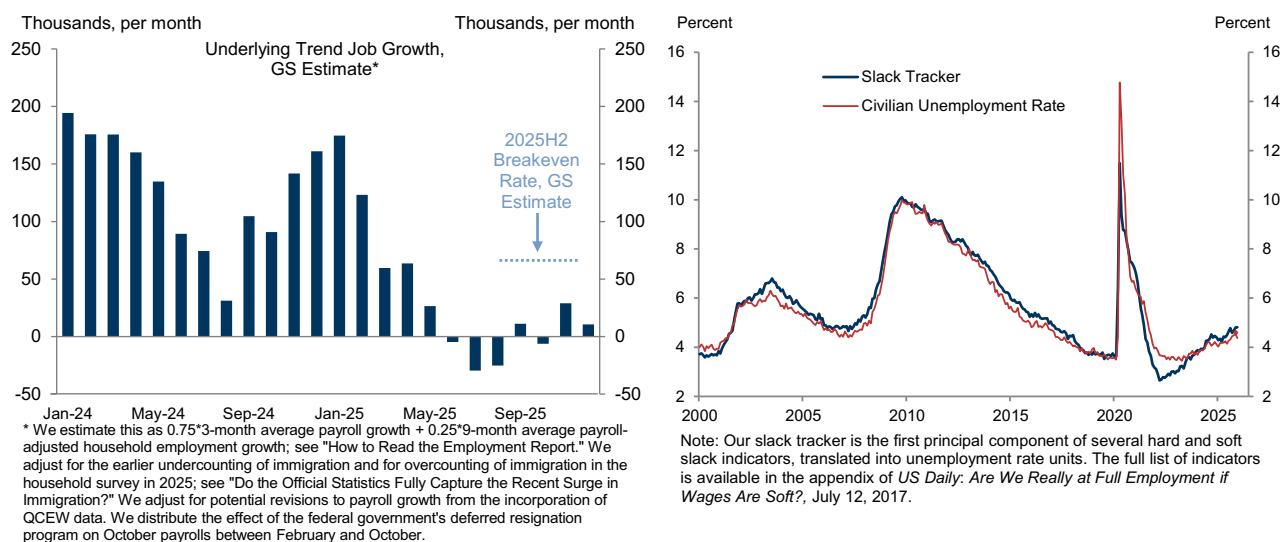
### Exhibit 12: With Net Immigration Now Running at About 500,000 Annualized, Half Its Pre-Pandemic Pace, the Economy Does Not Need to Produce as Many Jobs to Maintain Full Employment



Source: Goldman Sachs Global Investment Research, Transactional Records Access Clearinghouse, Department of Homeland Security, Congressional Budget Office

Unfortunately, job growth has fallen below even that modest breakeven rate. Our estimate of underlying trend job growth, which combines payroll and household employment and adjusts both for likely data problems, stands at just 11k per month. The gap between job growth and labor supply growth led to a renewed modest rise in the unemployment rate last year, and our broader slack tracker implies that the labor market has weakened a bit more than the unemployment rate implies to a point that is noticeably softer than before the pandemic.

**Exhibit 13: Trend Job Growth Has Fallen Below Trend Labor Supply Growth, Resulting in Increases in the Unemployment Rate and Our Broader Slack Tracker to Noticeably Above Their Pre-Pandemic Rates**

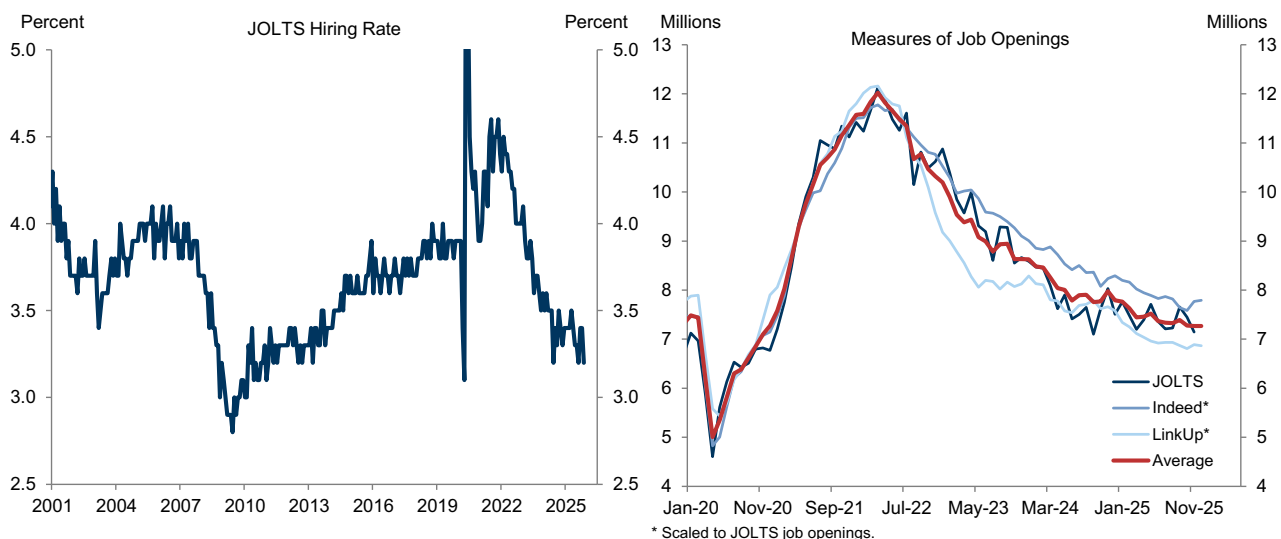


Source: Goldman Sachs Global Investment Research, Department of Labor

The latest employment reports have shown a small first step toward labor market stabilization, with the unemployment rate holding steady near 4.4% net of distortions from the government shutdown.

But we still see risks to our baseline forecast that a somewhat better economic and policy environment will be enough to boost hiring and stabilize the labor market. One risk is that the starting point is quite poor—net job growth has been weak and narrowly confined to the healthcare sector, companies appear reluctant to hire, and job openings have continued to slowly trend lower.

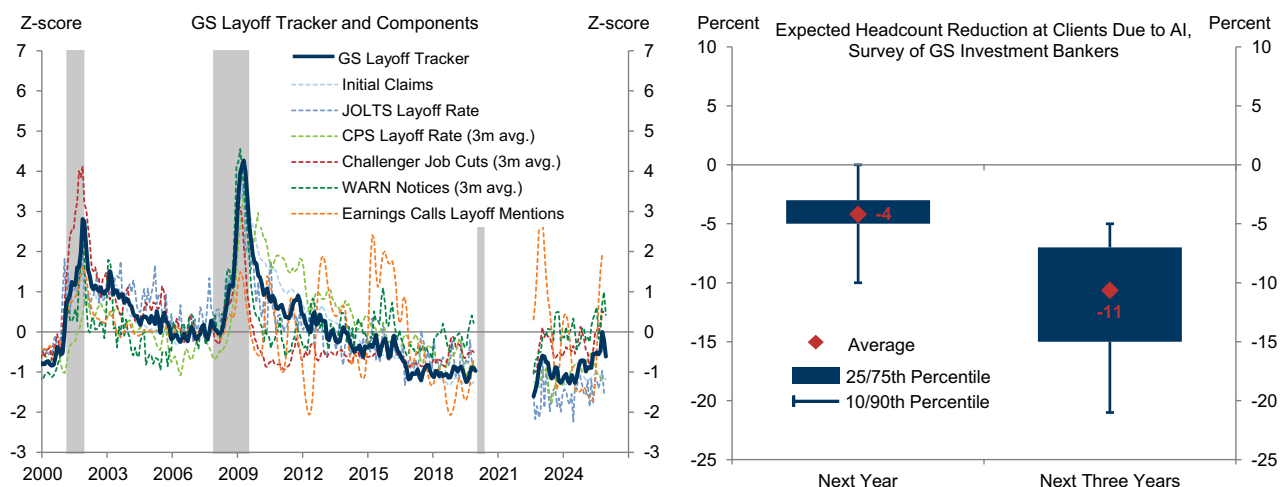
**Exhibit 14: We Expect Firmer GDP Growth and Reduced Policy Uncertainty to Boost Hiring Just Enough to Stabilize the Labor Market This Year, but We See Downside Risk from Companies' Reluctance to Hire**



Source: Goldman Sachs Global Investment Research, Department of Labor, Indeed, LinkUp

Another risk is that companies are increasingly discussing layoffs and appear eager to use artificial intelligence (AI) to reduce labor costs. Because AI does not seem to have been a major driver of the decline in job growth so far, an increased reluctance to hire in anticipation of AI being able to replace workers in the near future would represent a new obstacle to maintaining full employment.

**Exhibit 15: Companies Are Increasingly Discussing Layoffs and Appear Focused on Using AI to Reduce Labor Costs, Making Further Labor Market Softening the Key Risk for 2026**

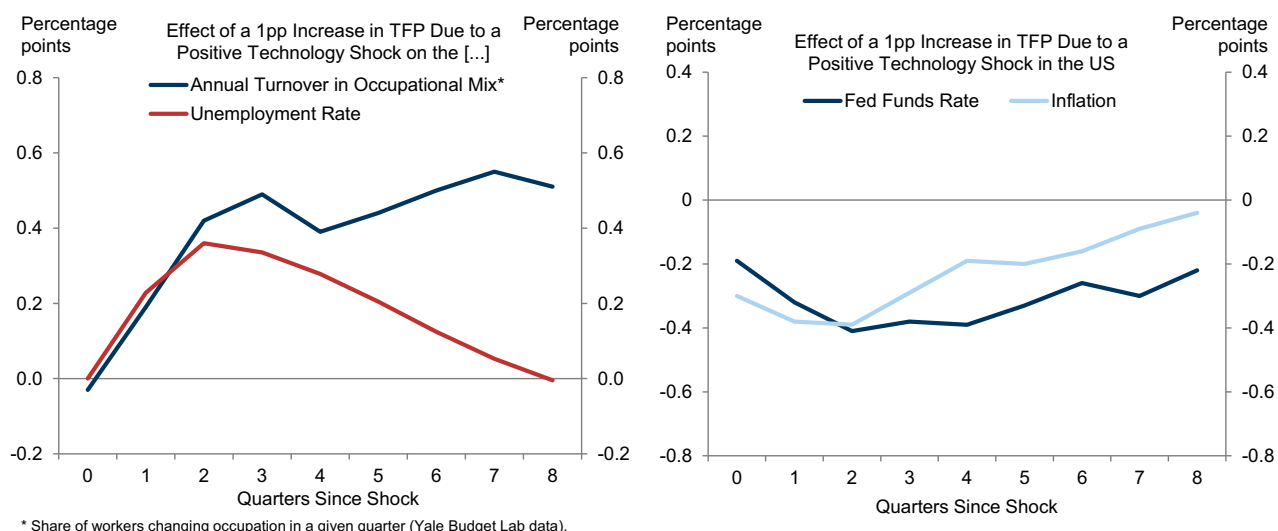


Source: Goldman Sachs Global Investment Research, Department of Labor, Department of Commerce, Challenger, Gray & Christmas, Federal Reserve

As a result, we see a period of jobless growth similar to the “jobless recovery” of the early 2000s as a plausible alternative to our baseline scenario. What might this look like?

In the past, faster technological progress has tended to lead to somewhat greater occupational turnover and consequently somewhat higher frictional unemployment. But the pick-up in productivity growth resulting from faster technological change has also tended to put additional temporary downward pressure on inflation, allowing the Fed to keep the funds rate a bit lower to support the labor market through these transitions. There is no guarantee that AI will follow this average historical pattern—it could displace jobs too quickly for policymakers to respond effectively or it could create a more difficult trade-off between full employment and low inflation—but past experience is at least mildly reassuring.

**Exhibit 16: History Suggests That Faster Technological Change Would Likely Mean More Occupational Displacement and Frictional Unemployment but Also Downward Pressure on Inflation, Which in the Past Has Allowed the Fed to Lower the Funds Rate a Bit to Support the Labor Market Through the Transition**



Source: Goldman Sachs Global Investment Research

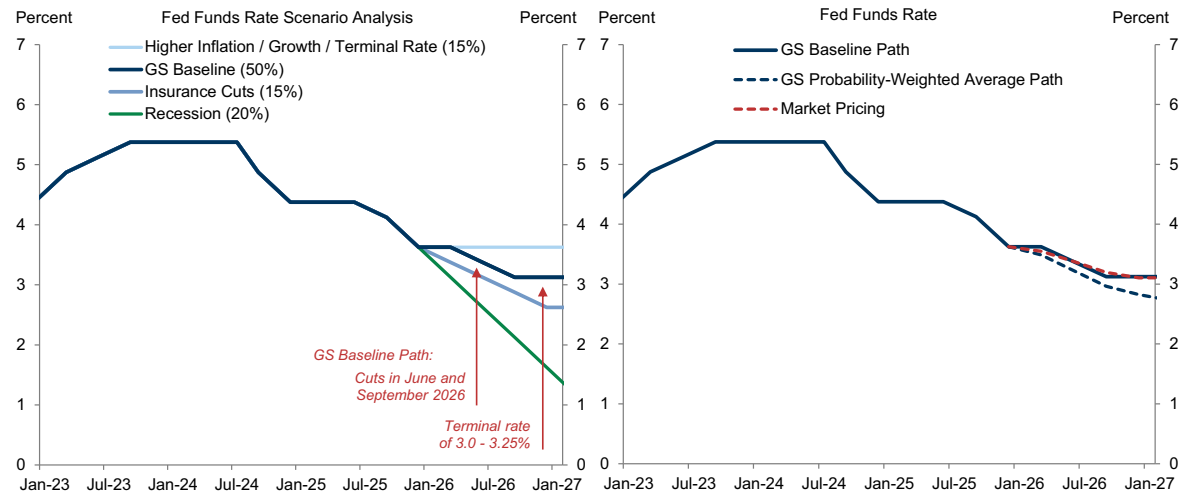
### The Fed: A Compromise on Two More Cuts to 3-3.25%

If the labor market stabilizes as we expect, the FOMC will likely shift from risk management mode to normalization mode. The large gap between the official inflation rate and the rate exclusive of tariff effects might continue to drive disagreement on the Committee for a while but will eventually close.

At that point, the key question would be what the appropriate terminal rate is. The December dot plot showed that FOMC participants had six different opinions. Some will likely see the current policy rate as a reasonable stopping point, while others—possibly including the new chair—might see another 100bp to go. We expect them to meet in the middle, delivering two more 25bp cuts in June and September (vs. our previous forecast of March and June) to 3-3.25%.

But we see the risks as tilted to the downside over the next couple of years. We see a low probability of hikes from a starting point where the funds rate is above the median FOMC participant's estimate of neutral and the labor market is meaningfully softer than late last cycle. But we see a few potential paths to cuts—a majority might eventually conclude that the neutral or appropriate terminal rate is a bit lower than we are forecasting, especially if inflation falls below 2%; a new risk could prompt another series of insurance cuts, of which there have now been three in seven years; or a recession could lead to deeper cuts. As a result, our probability-weighted Fed forecast is below our baseline and below market pricing.

**Exhibit 17: We Expect Two 25bp Cuts in 2026 to a Terminal Rate of 3.0-3.25%, but We See the Risks as Tilted to the Downside, and Our Probability-Weighted Fed Forecast Is a Bit More Dovish Than Market Pricing**



Source: Goldman Sachs Global Investment Research

David Mericle

# The US Economic and Financial Outlook

(% change on previous period, annualized, except where noted)

|                                        | 2023     | 2024     | 2025     | 2026   | 2027   | Q1       | 2025<br>Q2 | Q3     | Q4       | Q1       | 2026<br>Q2 | Q3     | Q4     |
|----------------------------------------|----------|----------|----------|--------|--------|----------|------------|--------|----------|----------|------------|--------|--------|
| <b>OUTPUT AND SPENDING</b>             |          |          |          |        |        |          |            |        |          |          |            |        |        |
| Real GDP                               | 2.9      | 2.8      | 2.2      | 2.8    | 2.1    | -0.6     | 3.8        | 4.3    | 2.1      | 3.1      | 2.6        | 2.1    | 2.1    |
| Real GDP (annual=Q4/Q4, quarterly=yoy) | 3.4      | 2.4      | 2.4      | 2.5    | 2.1    | 2.0      | 2.1        | 2.3    | 2.4      | 3.3      | 3.0        | 2.5    | 2.5    |
| Consumer Expenditures                  | 2.6      | 2.9      | 2.7      | 2.4    | 2.1    | 0.6      | 2.5        | 3.5    | 2.4      | 2.1      | 2.4        | 2.1    | 2.1    |
| Residential Fixed Investment           | -7.8     | 3.2      | -2.1     | -1.8   | 2.0    | -1.0     | -5.1       | -5.1   | -5.0     | -2.0     | 1.5        | 2.0    | 2.0    |
| Business Fixed Investment              | 7.3      | 2.9      | 4.1      | 4.9    | 4.1    | 9.5      | 7.3        | 2.8    | 3.6      | 5.8      | 5.8        | 5.0    | 4.4    |
| Structures                             | 16.7     | 1.1      | -4.8     | 2.0    | 3.2    | -3.1     | -7.5       | -6.3   | 4.0      | 4.0      | 5.0        | 4.0    | 3.0    |
| Equipment                              | 2.9      | 3.5      | 8.2      | 5.6    | 3.8    | 21.3     | 8.5        | 5.4    | 3.1      | 6.5      | 6.5        | 5.5    | 4.5    |
| Intellectual Property Products         | 6.2      | 3.5      | 5.5      | 5.8    | 4.7    | 6.5      | 15.0       | 5.4    | 4.0      | 6.0      | 5.5        | 5.0    | 5.0    |
| Federal Government                     | 3.3      | 3.8      | -1.2     | 1.7    | 0.9    | -5.6     | -5.3       | 2.9    | -17.5    | 22.5     | 0.0        | 1.0    | 1.0    |
| State & Local Government               | 3.6      | 3.8      | 2.4      | 0.8    | 1.2    | 1.9      | 3.1        | 1.8    | 0.5      | 0.3      | 0.3        | 0.5    | 1.0    |
| Net Exports (\$bn, '17)                | -925     | -1,033   | -1,073   | -955   | -998   | -1,381   | -1,058     | -957   | -898     | -931     | -950       | -963   | -977   |
| Inventory Investment (\$bn, '17)       | 47       | 44       | 31       | 20     | 61     | 172      | -18        | -30    | 0        | 5        | 25         | 25     | 25     |
| Nominal GDP                            | 6.7      | 5.3      | 5.0      | 5.5    | 4.3    | 2.9      | 6.0        | 8.2    | 4.5      | 6.2      | 5.1        | 4.2    | 3.8    |
| Industrial Production, Mfg.            | -1.0     | -1.0     | 1.5      | 3.5    | 3.2    | 4.0      | 2.5        | 4.7    | 2.2      | 4.0      | 4.1        | 3.4    | 3.2    |
| <b>HOUSING MARKET</b>                  |          |          |          |        |        |          |            |        |          |          |            |        |        |
| Housing Starts (units, thous)          | 1,421    | 1,371    | 1,291    | 1,224  | 1,315  | 1,401    | 1,354      | 1,234  | 1,176    | 1,179    | 1,209      | 1,239  | 1,269  |
| New Home Sales (units, thous)          | 665      | 685      | 656      | 670    | 644    | 655      | 670        | 620    | 680      | 690      | 690        | 662    | 638    |
| Existing Home Sales (units, thous)     | 4,103    | 4,067    | 3,983    | 3,978  | 4,132  | 4,127    | 3,990      | 3,888  | 3,926    | 3,937    | 3,956      | 3,989  | 4,030  |
| Case-Shiller Home Prices (%yoy)*       | 5.3      | 3.8      | 0.4      | 0.8    | 2.2    | 3.9      | 2.4        | 1.5    | 0.4      | 0.1      | 0.6        | 0.7    | 0.8    |
| <b>INFLATION (% ch, yr/yr)</b>         |          |          |          |        |        |          |            |        |          |          |            |        |        |
| Consumer Price Index (CPI)**           | 3.3      | 2.9      | 2.7      | 2.0    | 2.0    | 2.7      | 2.5        | 2.9    | 2.8      | 2.5      | 2.7        | 2.4    | 2.1    |
| Core CPI **                            | 3.9      | 3.2      | 2.8      | 2.0    | 2.0    | 3.1      | 2.8        | 3.1    | 2.7      | 2.6      | 2.7        | 2.3    | 2.2    |
| Core PCE** †                           | 3.1      | 3.0      | 2.8      | 2.1    | 2.0    | 2.8      | 2.7        | 2.9    | 2.7      | 2.6      | 2.6        | 2.3    | 2.3    |
| <b>LABOR MARKET</b>                    |          |          |          |        |        |          |            |        |          |          |            |        |        |
| Unemployment Rate (%)*                 | 3.8      | 4.1      | 4.4      | 4.5    | 4.4    | 4.2      | 4.1        | 4.4    | 4.4      | 4.5      | 4.5        | 4.5    | 4.5    |
| U6 Underemployment Rate (%)*           | 7.2      | 7.6      | 8.4      | 8.7    | 8.6    | 7.9      | 7.7        | 8.1    | 8.4      | 8.6      | 8.7        | 8.7    | 8.7    |
| Payrolls (thous, monthly rate)         | 216      | 168      | 49       | 64     | 90     | 111      | 55         | 51     | -22      | 53       | 62         | 70     | 70     |
| Employment-Population Ratio (%)*       | 60.1     | 59.9     | 59.7     | 59.5   | 59.3   | 59.9     | 59.7       | 59.7   | 59.7     | 59.6     | 59.5       | 59.5   | 59.5   |
| Labor Force Participation Rate (%)*    | 62.5     | 62.5     | 62.4     | 62.3   | 62.1   | 62.5     | 62.3       | 62.5   | 62.4     | 62.4     | 62.3       | 62.3   | 62.3   |
| Average Hourly Earnings (%yoy)         | 5.5      | 4.6      | 4.0      | 3.9    | 3.6    | 4.2      | 4.2        | 3.9    | 3.8      | 3.9      | 3.9        | 3.8    | 3.8    |
| <b>GOVERNMENT FINANCE</b>              |          |          |          |        |        |          |            |        |          |          |            |        |        |
| Federal Budget (FY, \$bn)              | -1,694   | -1,833   | -1,775   | -2,000 | -2,100 | --       | --         | --     | --       | --       | --         | --     | --     |
| <b>FINANCIAL INDICATORS</b>            |          |          |          |        |        |          |            |        |          |          |            |        |        |
| FF Target Range (Bottom-Top, %)*       | 5.25-5.5 | 4.25-4.5 | 3.5-3.75 | 3-3.25 | 3-3.25 | 4.25-4.5 | 4.25-4.5   | 4-4.25 | 3.5-3.75 | 3.5-3.75 | 3.25-3.5   | 3-3.25 | 3-3.25 |
| 10-Year Treasury Note^                 | 1.92     | 0.93     | 1.52     | 3.88   | 3.88   | 4.23     | 4.24       | 4.16   | 4.20     | 4.20     | 4.20       | 4.20   | 4.20   |
| Euro (€/€)^                            | 1.12     | 1.22     | 1.13     | 1.07   | 1.11   | 1.08     | 1.18       | 1.17   | 1.17     | 1.23     | 1.23       | 1.24   | 1.25   |
| Yen (\$/¥)^                            | 109      | 103      | 115      | 132    | 141    | 150      | 144        | 148    | 157      | 137      | 137        | 136    | 127    |

\* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.

\*\* Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.

† PCE = Personal consumption expenditures. ^ Denotes end of period.

Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

## The US Economics Team

**Jan Hatzius**

+1(212)902-0394  
jan.hatzius@gs.com  
Goldman Sachs & Co. LLC

**Alec Phillips**

+1(202)637-3746  
alec.phillips@gs.com  
Goldman Sachs & Co. LLC

**David Mericle**

+1(212)357-2619  
david.mericle@gs.com  
Goldman Sachs & Co. LLC

**Ronnie Walker**

+1(917)343-4543  
ronnie.walker@gs.com  
Goldman Sachs & Co. LLC

**Manuel Abecasis**

+1(212)902-8357  
manuel.abecasis@gs.com  
Goldman Sachs & Co. LLC

**Elsie Peng**

+1(212)357-3137  
elsie.peng@gs.com  
Goldman Sachs & Co. LLC

**Pierfrancesco Mei**

+1(212)902-8809  
pierfrancesco.mei@gs.com  
Goldman Sachs & Co. LLC

**Jessica Rindels**

+1(972)368-1516  
jessica.rindels@gs.com  
Goldman Sachs & Co. LLC



## Disclosure Appendix

### Reg AC

I, David Mericle, hereby certify that all of the views expressed in this report accurately reflect my personal views, which have not been influenced by considerations of the firm's business or client relationships.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

### Disclosures

#### Regulatory disclosures

##### Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

##### Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details can be found at: <https://www.goldmansachs.com/worldwide/india/documents/Grievance-Redressal-and-Escalation-Matrix.pdf>, and a copy of the annual audit compliance report can be found at this link: <https://publishing.gs.com/content/site/india-annual-compliance-report.html>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

**European Union and United Kingdom:** Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is

implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

**Japan:** Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, The Investment Trusts Association, Japan, and Japan Investment Advisers Association. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

## Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or [contatogoldmanbrasil@gs.com](mailto:contatogoldmanbrasil@gs.com). Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou [contatogoldmanbrasil@gs.com](mailto:contatogoldmanbrasil@gs.com). Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

**European Economic Area:** Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

## General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is focused on investment themes across markets, industries and sectors. It does not attempt to distinguish between the prospects or performance of, or provide analysis of, individual companies within any industry or sector we describe.

Any trading recommendation in this research relating to an equity or credit security or securities within an industry or sector is reflective of the investment theme being discussed and is not a recommendation of any such security in isolation.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and [https://www.goldmansachs.com/disclosures/cftc\\_fcm\\_disclosures](https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures). Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

**Differing Levels of Service provided by Global Investment Research:** The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for

equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.